

Disruptions

Industry disruption is a topic that interests all firms, big and small alike, as it allows a smaller firm in the industry or even a start-up with fewer resources to successfully challenge the established incumbent businesses.

Myths about Disruptions

Anything that is slightly different from the status quo and can make its mark is said to be **'disruptive'** in nature.

Anything that slightly modifies the current market or enhances the value proposition is **considered to be 'disruptive'**.

For instance, finding new modes of distribution or adding new features to the product is often said to be a disruption.

True disruption happens when something displaces something else to create something very new.



Harvard Business School professor and disruption guru Clayton Christensen says that a disruption displaces an existing market, industry, or technology and produces something new, more efficient, and worthwhile. It is at once destructive as well as creative.

Today, most industries face the risk of disruption due to new external factors gaining prominence. Some of these forces that affect all businesses are :

- New business models that bring around new competitive dynamics to existing firms where what was an advantage for them turns into a disadvantage.



Traditional Model

v/s

NETFLIX

Subscription Model